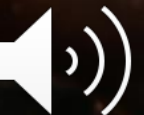


# ECON1010

## Introductory Microeconomics

Tutorial 2 | Thinking like an Economist II



# This Week in ECON1010

CML 1 is open – closes March 17

UQES First Year Mixer – includes free pizza and soft drink for all members  
(Thursday 12 March @6.00pm)



**UQES First Year Mixer**

# Assessment

85% **7**

75% **6**

65% **5**

50% **4**

47% **3**

30% **2**

0% **1**

## CMLs (25%)

- Computer Managed Learning
- Each worth 5%
- Best 5/6 count towards final grade

## CLEAR-JE (20%)

- Contextualised Learning of Economics via Authentic Reflection using Journal Entries
- Each worth 10%
- Best 2/3 count towards final grade

## Final Exam (55%)

# Tools and Resources

I need HELP...

1. **Ed Discussion Board**  
(Blackboard)
2. **Consultation** (8.00am  
Mon, 39-125A)
3. **Staff email**  
[econ1010@uq.edu.au](mailto:econ1010@uq.edu.au)

I REALLY need HELP...

- <https://my.uq.edu.au/contact/student-central>

## ECON1010 Consult Timetable

Semester 1 2026

| Time        | Mon                       | Tue                        | Wed                         | Thu                          | Fri                      |
|-------------|---------------------------|----------------------------|-----------------------------|------------------------------|--------------------------|
| 8:00-8:30   | CONSULT - SAM<br>39-125A  |                            |                             |                              |                          |
| 8:30-9:00   |                           |                            |                             |                              |                          |
| 9:00-9:30   |                           |                            |                             |                              |                          |
| 9:30-10:00  |                           |                            |                             |                              |                          |
| 10:00-10:30 |                           |                            |                             | CONSULT - LUCAS<br>39-125A   |                          |
| 10:30-11:00 |                           |                            |                             |                              |                          |
| 11:00-11:30 | CONSULT - GABE<br>39-125A | CONSULT - BORIS<br>39-125A | CONSULT - IKMAL<br>39-125A  | CONSULT - NIK 39-125A        | CONSULT - CARL<br>39-641 |
| 11:30-12:00 |                           |                            |                             |                              |                          |
| 12:00-12:30 |                           |                            |                             |                              |                          |
| 12:30-13:00 |                           |                            |                             |                              |                          |
| 13:00-13:30 |                           |                            |                             |                              | LECTURE                  |
| 13:30-14:00 |                           | CONSULT - DYLAN<br>39-125A |                             |                              |                          |
| 14:00-14:30 |                           |                            |                             | CONSULT - GUANCHU<br>39-125A |                          |
| 14:30-15:00 |                           |                            |                             |                              |                          |
| 15:00-15:30 |                           |                            |                             |                              |                          |
| 15:30-16:00 |                           |                            |                             |                              |                          |
| 16:00-16:30 |                           |                            | CONSULT - KIRTAN<br>39-125A | CONSULT - NANDAN<br>39-125A  |                          |
| 16:30-17:00 |                           |                            |                             |                              |                          |
| 17:00-17:30 |                           |                            |                             |                              |                          |

## Student Central

Need help? We've got you covered.

### Contact us

Monday to Friday

- ✉ Email
- ☎ 1300 275 870 (8.30am-5pm)
- 📍 Building 42, St Lucia
- 📍 Building 8101A, Gatton

Chat – 1:51 (1 Minute) wait

### Emergency help

For immediate risk:

UQ Campus Security  
☎ 07 3365 3333 (24/7)

Off-campus emergency  
☎ 000 (24/7)

### Crisis support

For urgent mental health support:

UQ Counselling and Crisis Line  
☎ 1300 851 998 (24/7)

Text a Crisis Counsellor  
☎ 0488 884 115 (4.30pm-8am)

Sexual Misconduct Support Unit (SMSU)

# Thinking like an Economist II

## Question 1

**Absolute Advantage** is when someone can produce more than a competitor using the same resources (e.g. time, raw materials etc).

**Comparative Advantage** is when someone can produce at a lower opportunity cost (i.e. who has less to lose by producing an item).

*Discuss with your table group,  
choose one person to share*

What are your thoughts on the following statements?

- i) You and your tutor are doing marginal analyses. Your tutor can produce marginal analyses faster than you (resource = time). Does the tutor have an absolute or comparative advantage?
- ii) Your tutor could instead be working on more complex and advanced economic models; however, at this stage in ECON1010 you're only able to do marginal analyses. Who has the higher opportunity cost in producing marginal analyses?
- iii) Do you have any advantages over your tutor for doing marginal analyses?
- iv) Is it more important to consider comparative or absolute advantage when deciding who should do what?





# Question 1

*What are your thoughts on the following statements?*

*i) You and your tutor are doing marginal analyses. Your tutor can produce marginal analyses faster than you (resource = time). Does the tutor have an absolute or comparative advantage?*

**Absolute advantage, as the tutor can produce more in the same amount of time.**

*ii) Your tutor could instead be working on more complex and advanced economic models; however, at this stage in ECON1010 you're only able to do marginal analyses. Who has the higher opportunity cost in producing marginal analyses?*

**The tutor has a higher opportunity cost as spending time on marginal analyses means they cannot work on more valuable and difficult economics work.**



## Question 1



*What are your thoughts on the following statements?*

*iii) Do you have any advantages over your tutor for doing marginal analyses?*

**Yes, a comparative advantage in doing marginal analyses as you have the lower opportunity cost.**

*iv) Is it more important to consider comparative or absolute advantage when deciding who should do what?*

**Comparative advantage, as this optimizes overall efficiency.**



## Question 2a

a) Holly and Oliver are two Byron Bay locals. They can both produce honey and organic avocados. If each of them focus on producing only one product, they can produce the following amounts per year:

|        | Jars of Honey | Number of Avocados |
|--------|---------------|--------------------|
| Holly  | 30            | 40                 |
| Oliver | 5             | 20                 |

i) The Byron Bay local with an absolute advantage in producing honey = \_\_\_\_\_

ii) The Byron Bay local with an absolute advantage in producing organic avocados = \_\_\_\_\_

iii) Holly's opportunity cost of producing one jar of honey = \_\_\_\_\_ organic avocados

iv) Holly's opportunity cost of producing one organic avocado = \_\_\_\_\_ jars of honey

v) Oliver's opportunity cost of producing one jar of honey = \_\_\_\_\_ organic avocados

vi) Oliver's opportunity cost of producing one organic avocado = \_\_\_\_\_ jars of honey

vii) The comparative advantage for producing jars of honey belongs to: \_\_\_\_\_

viii) The comparative advantage for producing organic avocados belongs to: \_\_\_\_\_

## REMEMBER KEY IDEA

$$\text{Opportunity Cost} = \frac{\text{Give Up}}{\text{Gain}}$$



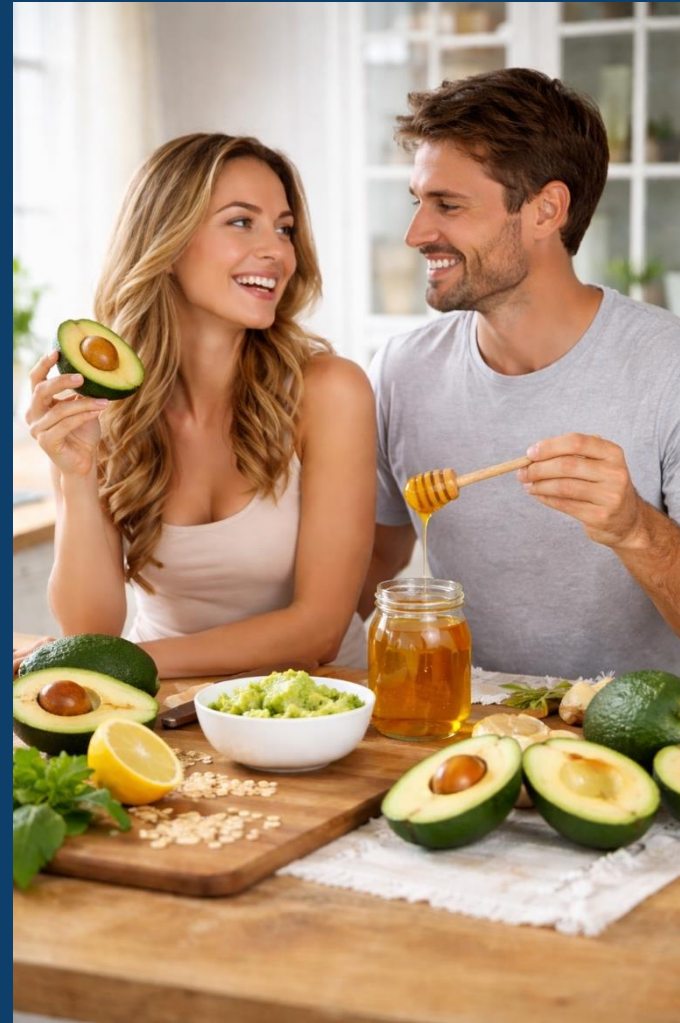
## Question 2a

i) *The Byron Bay local with an absolute advantage in producing honey =*

**Holly**

ii) *The Byron Bay local with an absolute advantage in producing organic avocados =*

**Holly**



## REMEMBER KEY IDEA

$$\text{Opportunity Cost} = \frac{\text{Give Up}}{\text{Gain}}$$

**Absolute Advantage** is when someone can produce more than a competitor using the same resources (e.g. time, raw materials etc).

**Comparative Advantage** is when someone can produce at a lower opportunity cost (i.e. who has less to lose by producing an item).

|        | Jars of Honey | Number of Avocados |
|--------|---------------|--------------------|
| Holly  | 30            | 40                 |
| Oliver | 5             | 20                 |

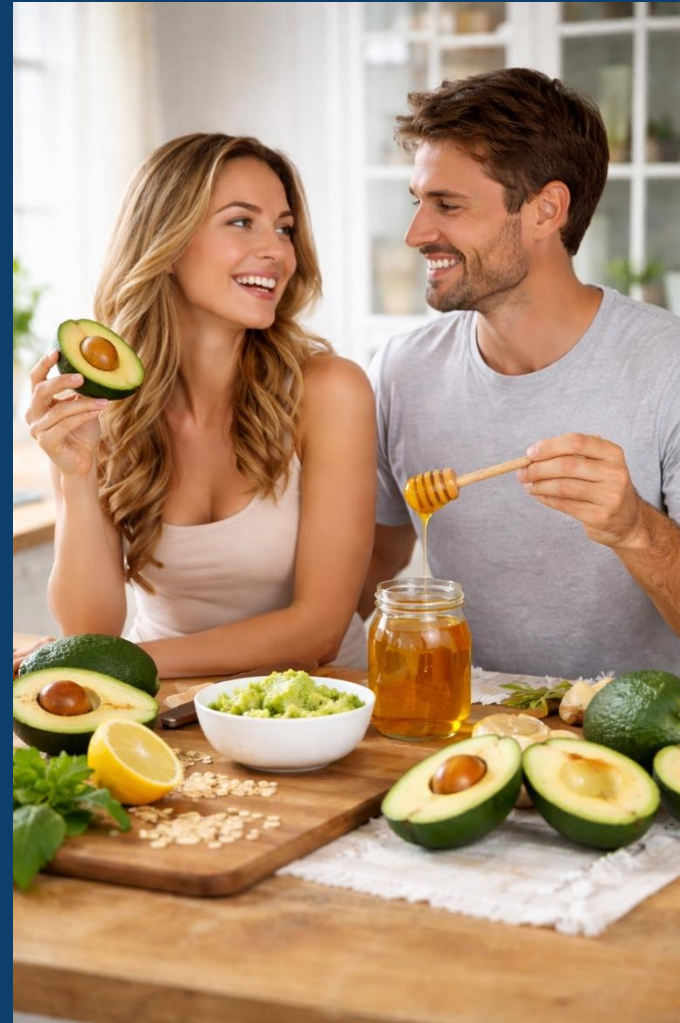
## Question 2a

iii) Holly's opportunity cost of producing one jar of honey =

1.33 (4/3) organic avocados

iv) Holly's opportunity cost of producing one organic avocado =

0.75 (3/4) jars of honey



## REMEMBER KEY IDEA

$$\text{Opportunity Cost} = \frac{\text{Give Up}}{\text{Gain}}$$

**Absolute Advantage** is when someone can produce more than a competitor using the same resources (e.g. time, raw materials etc).

**Comparative Advantage** is when someone can produce at a lower opportunity cost (i.e. who has less to lose by producing an item).

|        | Jars of Honey | Number of Avocados |
|--------|---------------|--------------------|
| Holly  | 30            | 40                 |
| Oliver | 5             | 20                 |

## Question 2a

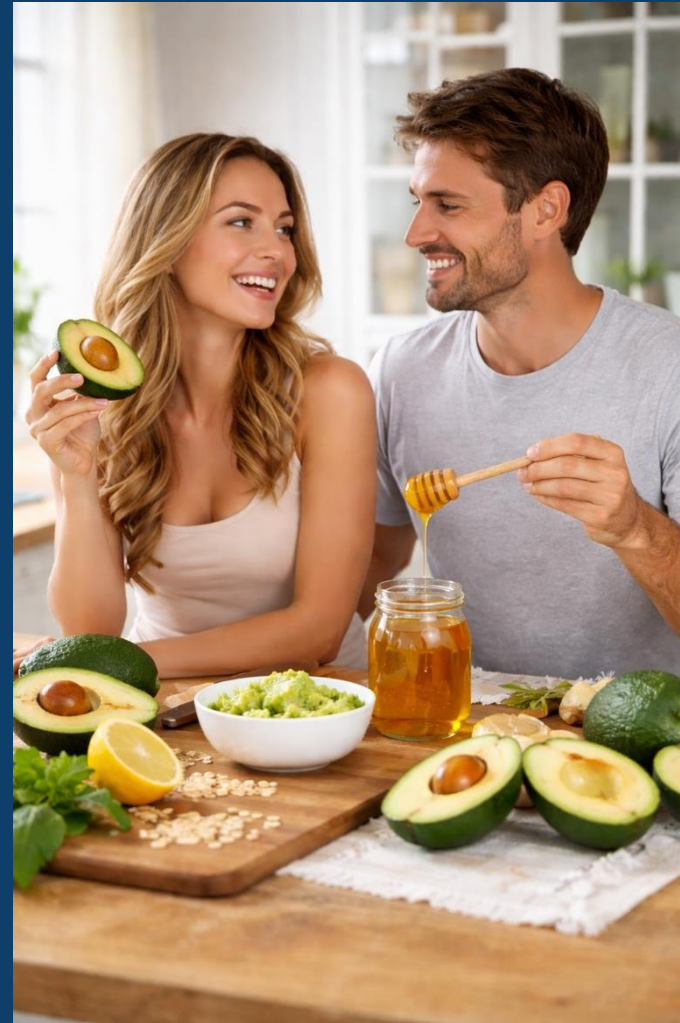
v) Oliver's opportunity cost of producing one jar of honey =

4 (20/5) organic avocados

vi) Oliver's opportunity cost of producing one organic avocado =

0.25 (5/20) jars of honey

|        | Jars of Honey | Number of Avocados |
|--------|---------------|--------------------|
| Holly  | 30            | 40                 |
| Oliver | 5             | 20                 |



## REMEMBER KEY IDEA

$$\text{Opportunity Cost} = \frac{\text{Give Up}}{\text{Gain}}$$

**Absolute Advantage** is when someone can produce more than a competitor using the same resources (e.g. time, raw materials etc).

**Comparative Advantage** is when someone can produce at a lower opportunity cost (i.e. who has less to lose by producing an item).



## Question 2a

vii) *The comparative advantage for producing jars of honey belongs to:*

**Holly (as  $1.33 < 4$ )**

viii) *The comparative advantage for producing organic avocados belongs to:*

**Oliver (as  $0.25 < 0.75$ )**

|        | Jars of Honey | Number of Avocados |
|--------|---------------|--------------------|
| Holly  | 30            | 40                 |
| Oliver | 5             | 20                 |

**Note:** When we have 2 agents producing 2 goods, when one has a CA in good x, the other must have a CA in good y.

## REMEMBER KEY IDEA

$$\text{Opportunity Cost} = \frac{\text{Give Up}}{\text{Gain}}$$

**Absolute Advantage** is when someone can produce more than a competitor using the same resources (e.g. time, raw materials etc).

**Comparative Advantage** is when someone can produce at a lower opportunity cost (i.e. who has less to lose by producing an item).



# Question 2b

b) In the spirit of Byron Bay caring, Holly and Oliver decide to cooperate and share. This means they will specialise in the production of a single product and trade their extra produce (surplus output). Using the principle of comparative advantage, Holly will produce **honey** and Oliver will produce **organic avocados**.

i) Before Holly and Oliver reached a trade agreement, assume:

Holly produced **15 jars of honey** and **20 organic avocados** per year, and Oliver produced **2.5 jars of honey** and **10 organic avocados** per year.

Show that by specialising, there is an increase in overall total production output by both Holly and Oliver.

|              | Output Before Specialisation          | Output After Specialisation           |
|--------------|---------------------------------------|---------------------------------------|
| Holly        | 15 Jars of honey<br>20 Avocados       | _____ Jars of honey<br>_____ Avocados |
| Oliver       | 2.5 Jars of honey<br>10 Avocados      | _____ Jars of honey<br>_____ Avocados |
| Total Output | _____ Jars of honey<br>_____ Avocados | _____ Jars of honey<br>_____ Avocados |

## ASSUMPTIONS

- 1. Assume resources are perfectly mobile i.e. all inputs can be reallocated between goods.
- 2. Allocating 100% of resources to one good doubles the output previously produced using 50%.

# Question 2b

b) In the spirit of Byron Bay caring, Holly and Oliver decide to cooperate and share. This means they will specialise in the production of a single product and trade their extra produce (surplus output). Using the principle of comparative advantage, Holly will produce **honey** and Oliver will produce **organic avocados**.

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Show that by specialising, there is an increase in overall total production output by both Holly and Oliver.

|              | Output Before Specialisation                                         | Output After Specialisation           |
|--------------|----------------------------------------------------------------------|---------------------------------------|
| Holly        | 15 Jars of honey<br>20 Avocados                                      | _____ Jars of honey<br>_____ Avocados |
| Oliver       | 2.5 Jars of honey<br>10 Avocados                                     | _____ Jars of honey<br>_____ Avocados |
| Total Output | <b>17.5</b> (15 + 2.5) Jars of honey<br><b>30</b> (20 + 10) Avocados | _____ Jars of honey<br>_____ Avocados |

## ASSUMPTIONS

1. Assume resources are perfectly mobile i.e. all inputs can be reallocated between goods.
2. Allocating 100% of resources to one good doubles the output previously produced using 50%.

# Question 2b

b) In the spirit of Byron Bay caring, Holly and Oliver decide to cooperate and share. This means they will specialise in the production of a single product and trade their extra produce (surplus output). Using the principle of comparative advantage, Holly will produce **honey** and Oliver will produce **organic avocados**.

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Show that by specialising, there is an increase in overall total production output by both Holly and Oliver.

|              | Output Before Specialisation                                                 | Output After Specialisation                                                      |
|--------------|------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| Holly        | 15 Jars of honey<br>20 Avocados                                              | <b>30</b> ( $15 \times 2$ ) Jars of honey<br><b>0</b> ( $20 \times 0$ ) Avocados |
| Oliver       | 2.5 Jars of honey<br>10 Avocados                                             | _____ Jars of honey<br>_____ Avocados                                            |
| Total Output | <b>17.5</b> ( $15 + 2.5$ ) Jars of honey<br><b>30</b> ( $20 + 10$ ) Avocados | _____ Jars of honey<br>_____ Avocados                                            |

## ASSUMPTIONS

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|              | Output Before Specialisation                                                 | Output After Specialisation                                                       |
|--------------|------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Holly        | 15 Jars of honey<br>20 Avocados                                              | <b>30</b> ( $15 \times 2$ ) Jars of honey<br><b>0</b> ( $20 \times 0$ ) Avocados  |
| Oliver       | 2.5 Jars of honey<br>10 Avocados                                             | <b>0</b> ( $2.5 \times 0$ ) Jars of honey<br><b>20</b> ( $10 \times 2$ ) Avocados |
| Total Output | <b>17.5</b> ( $15 + 2.5$ ) Jars of honey<br><b>30</b> ( $20 + 10$ ) Avocados | _____ Jars of honey<br>_____ Avocados                                             |

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|              | Output Before Specialisation                                                 | Output After Specialisation                                                       |
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| Holly        | 15 Jars of honey<br>20 Avocados                                              | <b>30</b> ( $15 \times 2$ ) Jars of honey<br><b>0</b> ( $20 \times 0$ ) Avocados  |
| Oliver       | 2.5 Jars of honey<br>10 Avocados                                             | <b>0</b> ( $2.5 \times 0$ ) Jars of honey<br><b>20</b> ( $10 \times 2$ ) Avocados |
| Total Output | <b>17.5</b> ( $15 + 2.5$ ) Jars of honey<br><b>30</b> ( $20 + 10$ ) Avocados | <b>30</b> ( $30 + 0$ ) Jars of honey<br><b>20</b> ( $0 + 20$ ) Avocados           |

## ASSUMPTIONS

1. Assume resources are perfectly mobile i.e. all inputs can be reallocated between goods.
2. Allocating 100% of resources to one good doubles the output previously produced using 50%.



# Question 2b

ii) As these Byron Bay locals want to share, Holly and Oliver have agreed on how much to trade. Holly agrees to trade **5 jars of her honey for 11 organic avocados from Oliver**. Oliver agrees to this trade also. Complete the table below to compare each Byron Bay local's output before and after specialisation.

|              | Output After Specialisation     | Exports (–)<br>Imports (+)            | Output After Trade                    | Output Before Specialisation      |
|--------------|---------------------------------|---------------------------------------|---------------------------------------|-----------------------------------|
| Holly        | 30 Jars of honey<br>0 Avocados  | _____ Jars of honey<br>_____ Avocados | _____ Jars of honey<br>_____ Avocados | 15 Jars of honey<br>20 Avocados   |
| Oliver       | 0 Jars of honey<br>20 Avocados  | _____ Jars of honey<br>_____ Avocados | _____ Jars of honey<br>_____ Avocados | 2.5 Jars of honey<br>10 Avocados  |
| Total Output | 30 Jars of honey<br>20 Avocados | _____ Jars of honey<br>_____ Avocados | _____ Jars of honey<br>_____ Avocados | 17.5 Jars of honey<br>30 Avocados |

iii) In terms of total quantity of produce, are both locals better off?

iv) What are your thoughts on this specialisation and cooperation?



# Question 2b

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|--------------|---------------------------------|---------------------------------------|---------------------------------------|-----------------------------------|
| Holly        | 30 Jars of honey<br>0 Avocados  | –5 Jars of honey<br>+11 Avocados      | _____ Jars of honey<br>_____ Avocados | 15 Jars of honey<br>20 Avocados   |
| Oliver       | 0 Jars of honey<br>20 Avocados  | _____ Jars of honey<br>_____ Avocados | _____ Jars of honey<br>_____ Avocados | 2.5 Jars of honey<br>10 Avocados  |
| Total Output | 30 Jars of honey<br>20 Avocados | _____ Jars of honey<br>_____ Avocados | _____ Jars of honey<br>_____ Avocados | 17.5 Jars of honey<br>30 Avocados |

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|--------------|---------------------------------|---------------------------------------|---------------------------------------|-----------------------------------|
| Holly        | 30 Jars of honey<br>0 Avocados  | –5 Jars of honey<br>+11 Avocados      | _____ Jars of honey<br>_____ Avocados | 15 Jars of honey<br>20 Avocados   |
| Oliver       | 0 Jars of honey<br>20 Avocados  | +5 Jars of honey<br>–11 Avocados      | _____ Jars of honey<br>_____ Avocados | 2.5 Jars of honey<br>10 Avocados  |
| Total Output | 30 Jars of honey<br>20 Avocados | _____ Jars of honey<br>_____ Avocados | _____ Jars of honey<br>_____ Avocados | 17.5 Jars of honey<br>30 Avocados |

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|--------------|---------------------------------|----------------------------------|---------------------------------------|-----------------------------------|
| Holly        | 30 Jars of honey<br>0 Avocados  | –5 Jars of honey<br>+11 Avocados | _____ Jars of honey<br>_____ Avocados | 15 Jars of honey<br>20 Avocados   |
| Oliver       | 0 Jars of honey<br>20 Avocados  | +5 Jars of honey<br>–11 Avocados | _____ Jars of honey<br>_____ Avocados | 2.5 Jars of honey<br>10 Avocados  |
| Total Output | 30 Jars of honey<br>20 Avocados | 0 Jars of honey<br>0 Avocados    | _____ Jars of honey<br>_____ Avocados | 17.5 Jars of honey<br>30 Avocados |

iii) In terms of total quantity of produce, are both locals better off?

iv) What are your thoughts on this specialisation and cooperation?

# Question 2b

ii) As these Byron Bay locals want to share, Holly and Oliver have agreed on how much to trade. Holly agrees to trade **5 jars of her honey for 11 organic avocados from Oliver**. Oliver agrees to this trade also. Complete the table below to compare each Byron Bay local's output before and after specialisation.

|              | Output After Specialisation     | Exports (–)<br>Imports (+)       | Output After Trade                    | Output Before Specialisation      |
|--------------|---------------------------------|----------------------------------|---------------------------------------|-----------------------------------|
| Holly        | 30 Jars of honey<br>0 Avocados  | –5 Jars of honey<br>+11 Avocados | 25 Jars of honey<br>11 Avocados       | 15 Jars of honey<br>20 Avocados   |
| Oliver       | 0 Jars of honey<br>20 Avocados  | +5 Jars of honey<br>–11 Avocados | _____ Jars of honey<br>_____ Avocados | 2.5 Jars of honey<br>10 Avocados  |
| Total Output | 30 Jars of honey<br>20 Avocados | 0 Jars of honey<br>0 Avocados    | _____ Jars of honey<br>_____ Avocados | 17.5 Jars of honey<br>30 Avocados |

iii) In terms of total quantity of produce, are both locals better off?

iv) What are your thoughts on this specialisation and cooperation?



## Question 2b

ii) As these Byron Bay locals want to share, Holly and Oliver have agreed on how much to trade. Holly agrees to trade **5 jars of her honey for 11 organic avocados from Oliver**. Oliver agrees to this trade also. Complete the table below to compare each Byron Bay local's output before and after specialisation.

|                     | Output After Specialisation                   | Exports (–)<br>Imports (+)                       | Output After Trade                            | Output Before Specialisation                    |
|---------------------|-----------------------------------------------|--------------------------------------------------|-----------------------------------------------|-------------------------------------------------|
| Holly               | <b>30</b> Jars of honey<br><b>0</b> Avocados  | – <b>5</b> Jars of honey<br>+ <b>11</b> Avocados | <b>25</b> Jars of honey<br><b>11</b> Avocados | <b>15</b> Jars of honey<br><b>20</b> Avocados   |
| Oliver              | <b>0</b> Jars of honey<br><b>20</b> Avocados  | + <b>5</b> Jars of honey<br>– <b>11</b> Avocados | <b>5</b> Jars of honey<br><b>9</b> Avocados   | <b>2.5</b> Jars of honey<br><b>10</b> Avocados  |
| <b>Total Output</b> | <b>30</b> Jars of honey<br><b>20</b> Avocados | <b>0</b> Jars of honey<br><b>0</b> Avocados      | _____ Jars of honey<br>_____ Avocados         | <b>17.5</b> Jars of honey<br><b>30</b> Avocados |

iii) In terms of total quantity of produce, are both locals better off?

iv) What are your thoughts on this specialisation and cooperation?

# Question 2b

ii) As these Byron Bay locals want to share, Holly and Oliver have agreed on how much to trade. Holly agrees to trade **5 jars of her honey for 11 organic avocados from Oliver**. Oliver agrees to this trade also. Complete the table below to compare each Byron Bay local's output before and after specialisation.

|              | Output After Specialisation     | Exports (–)<br>Imports (+)       | Output After Trade              | Output Before Specialisation      |
|--------------|---------------------------------|----------------------------------|---------------------------------|-----------------------------------|
| Holly        | 30 Jars of honey<br>0 Avocados  | –5 Jars of honey<br>+11 Avocados | 25 Jars of honey<br>11 Avocados | 15 Jars of honey<br>20 Avocados   |
| Oliver       | 0 Jars of honey<br>20 Avocados  | +5 Jars of honey<br>–11 Avocados | 5 Jars of honey<br>9 Avocados   | 2.5 Jars of honey<br>10 Avocados  |
| Total Output | 30 Jars of honey<br>20 Avocados | 0 Jars of honey<br>0 Avocados    | 30 Jars of honey<br>20 Avocados | 17.5 Jars of honey<br>30 Avocados |

iii) In terms of total quantity of produce, are both locals better off?

Yes, both Holly and Oliver are better off, in terms of total output, after specialisation and trade takes place.

iv) What are your thoughts on this specialisation and cooperation?

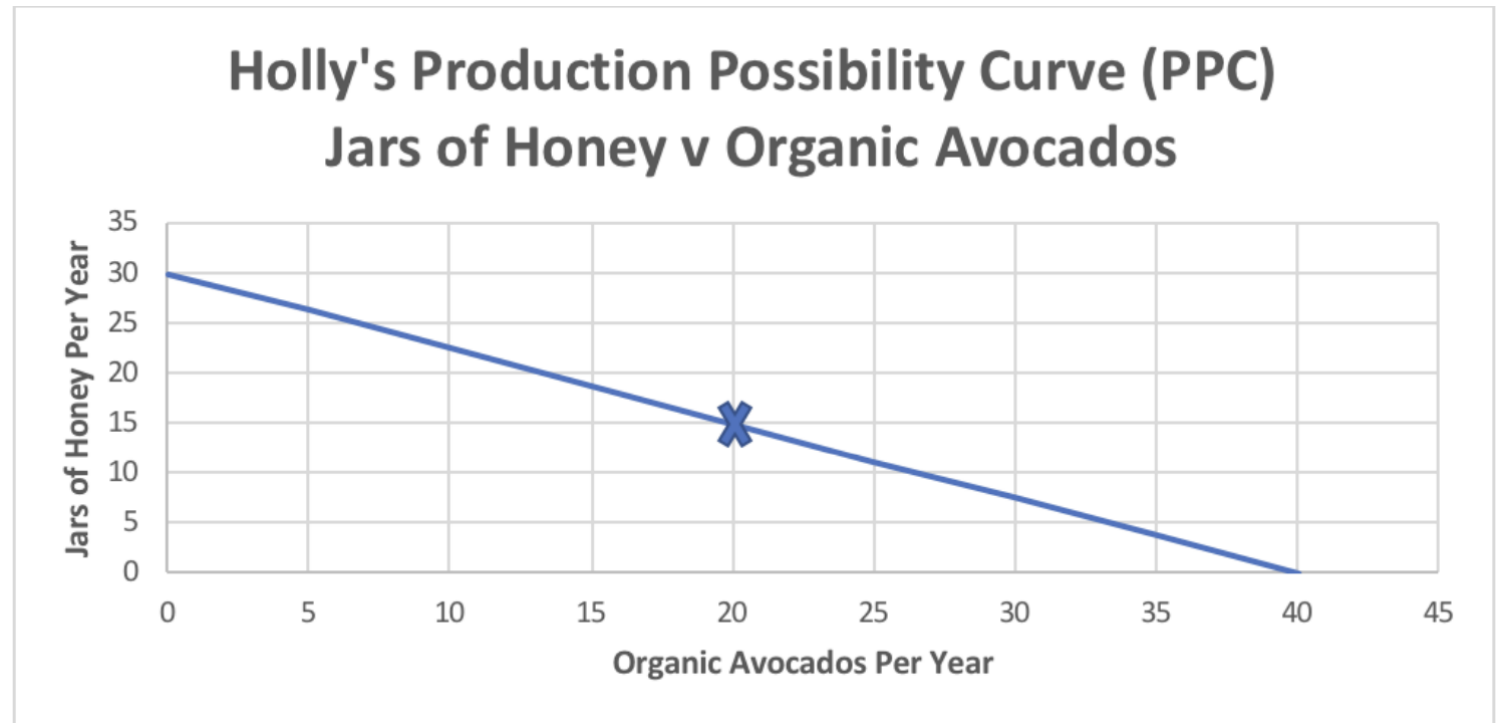
In this situation it is mutually beneficial.

- 1) There is **more produce available (50 units v 47.5 units in total world-wide production)** and;
- 2) both locals can **trade to get their desired mix** of honey/organic avocados.

## Question 2c

c) Holly is trying to decide how to maximise her output. Below is Holly's production possibilities curve (PPC). The X denotes the quantity of jars of honey and organic avocados she currently produces.

- i) What parts of the graph are obtainable points of production?
- ii) Calculate the opportunity cost of producing 1 jar of honey.
- iii) Is the current output efficient, inefficient, or neither because it is unattainable?
- iv) Draw Oliver's Production Possibility Curve (PPC).



***Remember (Give Up/Gain)***



## Question 2c

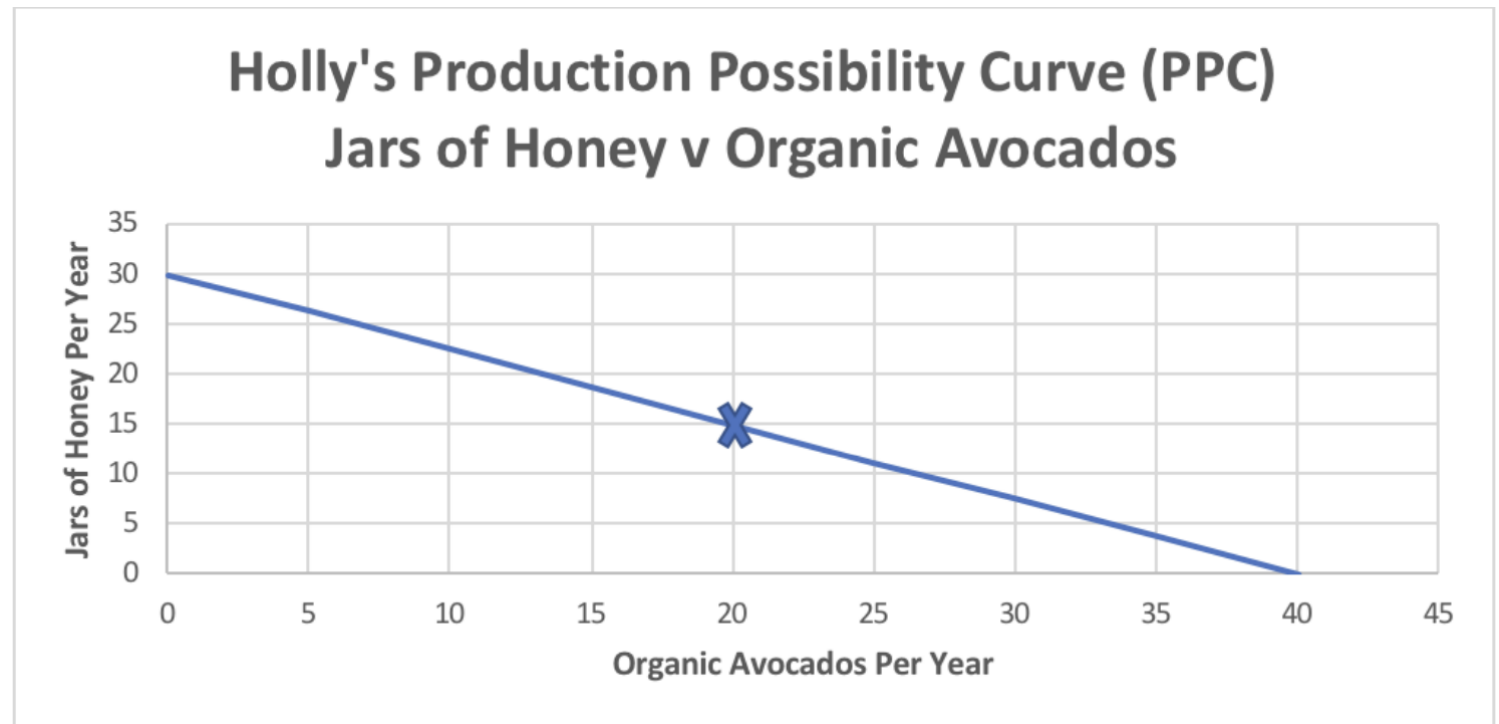
c) Holly is trying to decide how to maximise her output. Below is Holly's production possibilities curve (PPC). The X denotes the quantity of jars of honey and organic avocados she currently produces.

i) What parts of the graph are obtainable points of production?

**The parts on and under the PPC are obtainable.**

ii) Calculate the opportunity cost of producing 1 jar of honey.

**Opportunity cost of producing 1 jar of honey = 1.33 organic avocados (40 organic avocados / 30 jars of honey)**



**Remember (Give Up/Gain)**

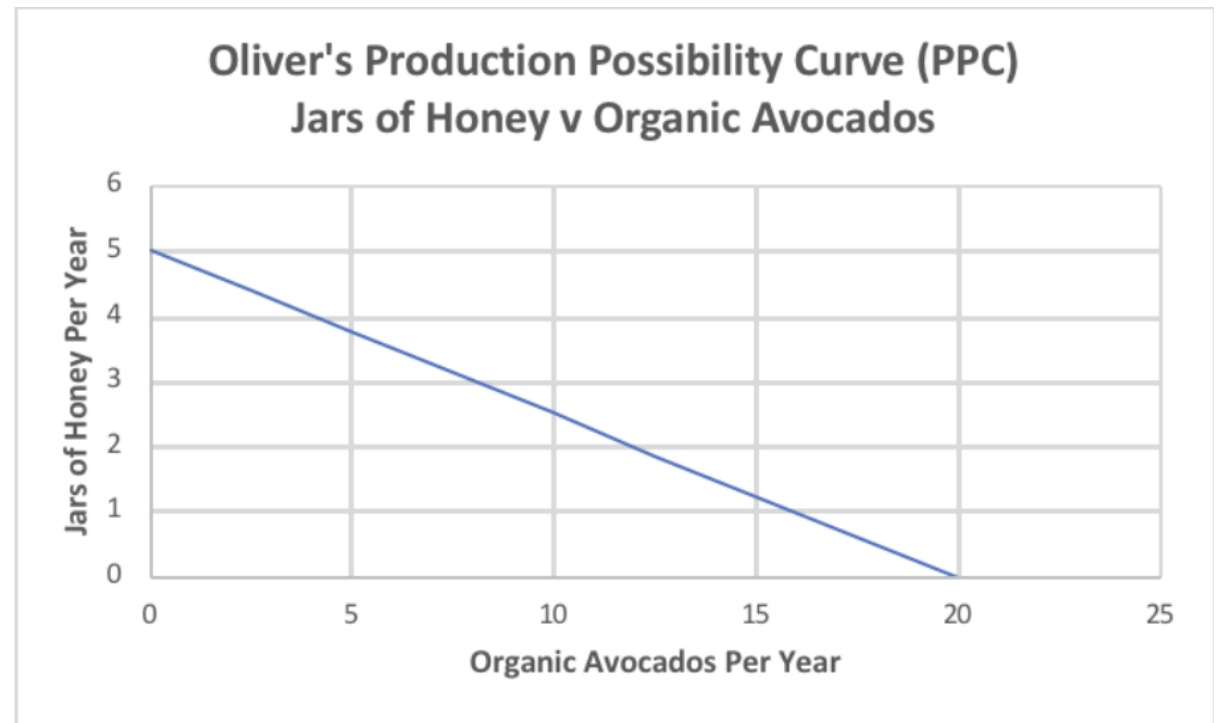
## Question 2c

c) Holly is trying to decide how to maximise her output. Below is Holly's production possibilities curve (PPC). The X denotes the quantity of jars of honey and organic avocados she currently produces.

iii) Is the current output efficient, inefficient, or neither because it is unattainable?

**Current output is efficient as it is on the PPC.**

iv) Draw Oliver's Production Possibility Curve (PPC)



Oliver's PPC has been drawn for the data shown in the table in part 2a). You will notice that the PPC doesn't go through the point 3 jars of honey and 10 organic avocados, in above the PPC, hence unattainable for Oliver.

## Question 3

*Work through a) and b) below to:*

- *Identify absolute and comparative advantages with a friend(s) or small group, □ If you missed last tutorial, exchange contact details with your friends to help each other work through your online computer managed learning (CML) assessment quizzes during the semester.*

**a) With your friend(s), try and discover:**

- Two absolute advantages that belong to you:
- Two absolute advantages that belong to your friend:
- One comparative advantage that belongs to you over your friend (remember, opportunity cost):

**b) Think of two competing activities YOU normally do (e.g. if you like baking: bake brownies or cakes; if you like to farm: grow strawberries or passionfruit etc.). Create a Production Possibilities Curve using these two competing activities – remember to include labels on your axes and a title.**



# Thank You

Next week: Demand and Supply I

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